

IN JULY 2022, just a year after debuting in the stock exchange at ₹115, Zomato's share price nosedived to below ₹50. Its future seemed uncertain. A non-profitable start-up hitting the stock market was a bold move—and, to some, even reckless. Investors braced for losses, shaking their heads at what felt like the bubble ready to burst.

Fast forward to 2024, and the tables have turned. In December 2024, Zomato's stock price soared to an all-time high of ₹304.5 per share. It is because of its remarkable turnaround that secured its entry into the Top 50 in the BT500 list of India's Most Valuable Companies.

Who could have foreseen that what began as Foodiebay, a modest online restaurant directory, would evolve into one of India's most coveted start-ups, shaping the nation's business landscape under Founder, Managing Director and Chief Executive Officer Deepinder Goyal?

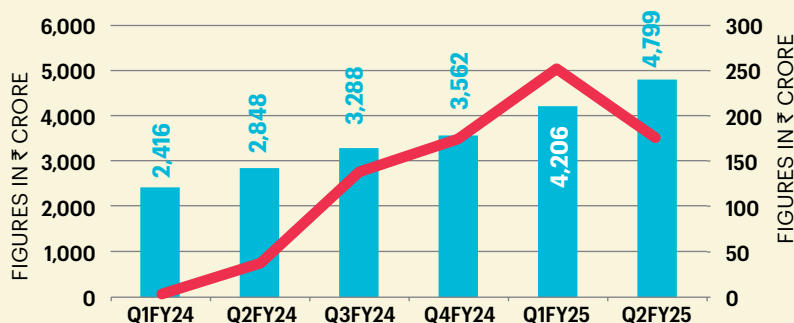
THE GROWTH STORY

Zomato's resurgence wasn't a game of chance. It was the result of strategic acquisitions and a willingness to diversify. "Zomato took some brave steps. From acquiring Blinkit [formerly Grofers] and foraying into quick commerce to event-ticketing and going-out businesses, the company is growing by adding more services," says Aakash Agrawal, Head-Digital and New-Age businesses at Anand Rathi Investment Banking, a financial services platform. Zomato's B2B venture, Hyperpure, a supplier of ingredients and kitchen products to restaurants, has also added to this ecosystem of growth.

In August 2023, Zomato hit a major milestone—it turned profitable for the first time in 15 years, reporting a net profit of ₹2 crore for the quarter ended June 30, 2023. This was a marked improve-

RIISING THROUGH THE RANKS

➤ The new-age tech company has seen remarkable growth—from reporting a meagre net profit ₹2 crore in Q1FY24 to ₹176 crore in Q2FY25



● GROSS SALES — NET PROFIT

NOTE GROSS SALES AND NET PROFIT IN ₹ CRORE; CONSOLIDATED DATA
SOURCE ACE EQUITY

ment over the ₹186 crore loss it had reported the previous year. The operating revenue also saw a 70% increase year-on-year (YoY), reaching ₹2,416 crore.

Akshant Goyal, Zomato's CFO, reflected this optimism in a recent letter to shareholders, noting that the company expects 40%+ annual adjusted revenue growth over the coming years, driven by its established customer base and diversified business model.

Bolstered by a strong ecosystem, Zomato's financial outlook has garnered interest from major players in the finance industry. Shrikant Chouhan, Head of Equity Research at Kotak Securities, an investment and trading platform, projects Zomato's revenue to grow at a compound annual growth rate (CAGR) of 49% from FY24 to FY27. He expects significant profitability gains, with earnings (consolidated net profit) rising from about ₹350 crore in FY24 to an estimated ₹3,320 crore by FY27. EPS, or earnings per share, is expected to hit ₹2.5 by FY26 and ₹3.6 by FY27. Ko-

tak has assigned a 'buy' rating on the stock, setting a fair value target of ₹310.

As Agrawal points out, "The challenge was proving to traditional investors that Zomato's investments in customer acquisition were akin to fixed assets, as marketplace businesses gain momentum over time."

Zomato's average market capitalisation between October 2023 and September 2024 was ₹1.55 lakh crore, with its stock hitting an all-time high of ₹298 during the period.

MODUS OPERANDI

Zomato owes its success to the 'flywheel' effect—a business model where small wins accumulate over time, making one's venture profitable eventually. "There's a strong hook and a solid flywheel effect in this marketplace model, especially when the first or second player dominates, as we've seen with Zomato and Swiggy," says Agrawal.

Zomato's acquisition of Blinkit has cemented its leadership in the quick commerce market. Accord-